The sequence-of-returns problem occurs even more harshly for retirees using a constant inflation-adjusted spending strategy. With compounded returns of 5.1 percent, retirees could expect to withdraw 6.3 percent of their retirement date assets, adjust this for inflation, and have their wealth last for precisely thirty years. But because of return volatility, the actual maximum sustainable withdrawal rates vary greatly over time. In Exhibit 3.5, sustainable withdrawal rates from the rolling historical data ranged from 4 percent (in 1966) to 9.8 percent (in 1982). The variance between these sustainable withdrawal rates is based simply on the luck of the draw regarding the postretirement return sequence.

Exhibit 3.5

Sustainable Withdrawal Rate over a 30-Year Retirement

50/50 Asset Allocation, Inflation-Adjusted Spending

Using SBBI Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds